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China Economics | Asia Pacific

RMB Internationalization, via CNH

Key Takeaways

- Beijing has announced an infrastructure package for the CNH ecosystem, expanding investment channels, deepening liquidity, adding hedging tools.
- The measures improve the supply and investability of CNH assets, making them easier to trade, finance, collateralize and hedge.
- They may further expand CNH's role from payment/invoicing towards a balance-sheet currency used for investment, funding and risk management.
- We see this as continued, calibrated RMB internationalization under controlled channels.

PBoC Governor Pan announced new measures to reinforce Hong Kong as the offshore RMB hub:

- **Expand offshore bond investment channels:** Raise the Southbound Bond Connect quota from Rmb500bn to Rmb800bn and broaden eligible investments.
- **Boost CNH liquidity:** Increase the RMB Business Facility from Rmb200bn to Rmb500bn and extend tenor to up to three years.
- **Add hedging tools:** Launch 5-year offshore RMB CGB futures.
- **Promote RMB pricing role:** Build cross-border gold clearing/settlement and promote RMB-denominated commodity futures and spot products.

We view these measures as part of continued RMB internationalization beyond current-account usage, aimed at building a deeper offshore RMB ecosystem through controlled channels. The measures may help alleviate key bottlenecks in the CNH market, including relatively thin liquidity, a less developed benchmark yield curve, and insufficient hedging, repo and collateral channels.

Overall, this echoes [our view that China will continue to adopt an asymmetric approach](#) to capital account opening and RMB internationalization: tightening informal outflows while expanding regulated, Hong Kong-based RMB investment and funding channels.

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